

- **Growth Stock**—a stock whose return to investors comes from increases in share price. Growth stock might pay few or no dividends because much of its earnings are used to keep the company growing.
- **Hedge fund**—a private fund charging a performance fee and typically open only to a very limited range of qualified investors.
- **Income Stock**—a stock that has a consistent record of paying high dividends.
- **Investment Banker**—a business that gives a corporation advice on how to raise money and also sells new issues of stocks and bonds.
- **Limit Order**—an order to buy or sell a stock at a certain (or better) price. A buyer's limit order for \$20 would be completed only if each share can be bought for \$20 or less.
- **Listed Stock**—stocks that have been approved and listed for trading by one of the organized stock exchanges. These stocks must meet specific financial and other requirements to qualify. Unlisted stocks are those that trade over the counter (OTC) and do not need to meet certain standards.
- **Market-Maker**—a stock trader who agrees to buy and sell in a company's stock. The trader uses his firm's money to purchase stock so he has shares available for people to buy. A market-maker also must agree to purchase stock back when investors want to sell. Market-makers buy and sell NASDAQ and OTC stocks. Smaller companies usually have only a few market-makers while large companies have dozens.
- **NASDAQ**—the NASDAQ Stock Market is an electronic marketplace where buyers and sellers get together via computer. More than 5,000 companies are listed on NASDAQ's computerized market. NASDAQ is not an

